

— EDITION 06

Where your card fee actually goes.

*Everyone sees the 2.5%. Almost nobody
sees the chain of hands it passes through,
or why it has stayed so sticky.*

A 7-part breakdown

SWIPE >>>>

0101 / 07

| The fee nobody itemises.

Swipe a card and a couple of percent disappears. From inside payment operations, that fee is not one charge. It is a chain.

0202 / 07

| Who takes a cut.

The acquirer, the network, the issuer, and the steps in between. Interchange is the issuer's slice, and it is the biggest reason the number stays where it is.

0303 / 07

Why it has been so sticky.

The fee funds rewards, fraud cover and float. Cardholders feel the perks and never feel the cost. That gap is the moat.

0404 / 07

What actually pressures it.

Not slogans about disruption. Regulation that caps interchange, and account-to-account rails that move money without the card networks in the middle.

0505 / 07

| The operator's read.

Real-time and A2A rails are cheaper per transaction, but they carry less fraud cover and less dispute machinery. Cheaper is not free.

0606 / 07

| Where it settles.

High-value, low-trust payments keep paying for protection. High-volume, low-value flows drift to cheap rails. The split is already starting.

0707 / 07

| Save this.

Interchange is not a tax. It is the price of a system most people never have to think about.

— THE TAKEAWAY

Cards or rails?

Tell me where machine volume settles — comments are open. Repost to share it, and follow for daily breakdowns of the agentic payments stack.

◆ Joseph Bankole